

Illustration by SIDDHANT JUMDE

The FCRA was first enacted in 1976 to regulate the receipt and use of foreign funding. In 2010, the then UPA government at the Centre repealed it and passed a new law. Then, in 2020, the BJP-led government further amended the Act to tighten control over how foreign funding could be used. For instance, now, only 20 per cent of foreign funding can be used for administrative expenses—down from the earlier 50 per cent. If the government, based on an inquiry, believes that an organisation has violated FCRA provisions, it can prohibit it from receiving or using foreign funding even without the organisation being found guilty. The new rules also bar NGOs from transferring foreign funds received to other individuals or organisations. Critics say this rule has hit smaller NGOs in remote areas with no access to foreign funding, preventing them from getting help from bigger NGOs.

Harper, along with Joseph Lizy and Annamma Joachim of the National Workers Welfare Trust in Telangana, have argued in the Supreme Court that the 2020 amendments of the FCRA have severely restricted the use of foreign funds by NGOs for their mandated activities. "The government must simplify the rules. Else people naturally begin to suspect that there is something more behind these regulations," says Harper. The Centre has said these amendments were required to ensure that foreign funds were being used for their publicly stated purpose, and not for other uses that could harm the country. For one, it claims that funds received for development work are often diverted to train Maoists.

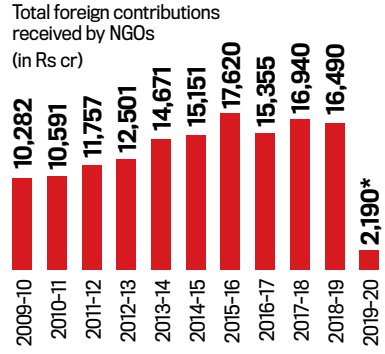
In support of the amendments, the NCPCR has filed an affidavit in the Supreme Court, naming some NGOs where funds have allegedly been diverted or were received from suspicious sources. For now, the top court has not issued a verdict. There have been several legal challenges against cancellations of FCRA registrations—in 2016, the registration of the Lawyers' Collective, an NGO run by Additional Solicitor General Indira Jaising and her husband Anand Grover, was cancelled, with the government claiming that the organisation had used foreign funds for political purposes. The government also stated that Jaising had violated FCRA norms by receiving foreign funds. Under the FCRA, a government official cannot do so.

Since coming to power in 2014, the Narendra Modi government has often received international criticism for allegedly using FCRA to "stifle the voices" of activists and NGOs in India, particularly after the cancellation of the FCRA registrations of Greenpeace and Amnesty International. In September 2020, Amnesty International India had accused the Centre of having frozen its bank accounts as punishment for speaking out about alleged rights abuses. After its bank accounts were frozen, the organisation closed its India office.

The NDA government at the Centre pointed out how the FCRA registration of Amnesty International was cancelled by the previous UPA government in 2010 and has never been renewed. In fact, the primary rationale behind legislation of the FCRA was to tighten the scrutiny on the functioning of the NGOs. In 2012, the then UPA government used the FCRA rules to come down heavily on several NGOs protesting the Kudankulum nuclear power project. When the NDA came to power in 2014, the approach of the government towards the NGOs became evident. In the first month of the Modi government, the Intelligence Bureau submitted a classified report identifying several foreign-funded organisations which were "negatively impacting economic development" of India. ■

THE QUANTUM OF FOREIGN FUNDS

Despite a marginal dip in annual foreign contributions since 2015-16, the total amount of foreign funding received between 2014 and 2020 has jumped by 39 per cent from the amount received between 2009 and 2014



**Till March 16, 2021, as per the annual returns filed by NGOs*
Sources: Estimating Philanthropic Capital in India, 2019 by the Centre for Social Impact and Philanthropy, Ashoka University and Lok Sabha data as on March 24, 2021